

September 04th, 2026
Week 36
Volume 282, Issue 1251

QUOTE
of the
WEEK

"Chance favours only the prepared mind."

- Louis Pasteur

Highlights:

- Strikes return.

- Crude jumps.

- Freight soars.

- Leaders cool.

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-- MARKET COMMENTARY --

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STRIKES RETURN, FREIGHT SOARS

The sanctions package that landed last week barely had time to settle before the shooting resumed. Renewed U.S. strikes and Iranian retaliation ended the recent lull, while commercial traffic through Hormuz again ran below pre-conflict levels. For Gulf-positioned recycling candidates, the immediate risk has shifted back from sanctions paperwork to passage, insurance and physical security. The strait is functioning. Normality is not.

Oil followed the escalation. Brent traded near USD 95.7 and WTI around USD 91.6 on Friday, up roughly 7% and 10% on the week respectively and reversing last week's retreat. The market has absorbed repeated disruptions, but the inventory cushion is no longer being treated as infinite. Higher crude raises voyage and import costs across the basin just as buyers are becoming more selective.

Dry freight supplied the clearer recycling message. The Baltic Dry Index climbed to 3,488 on Thursday, its strongest reading since October 2021, with Capesizes at 6,042 and Panamaxs at 2,457. The rise is broad enough to keep ageing bulkers trading and owners patient. Last week's principal supply constraint has strengthened, not eased. The beach is bidding against daily earnings, and daily earnings are winning.

Currencies moved in different directions. The Indian Rupee strengthened to around 94.49 against the Dollar, meaningful support for Alang's purchasing power, while the Pakistani Rupee held near 277.42 and Bangladesh Bank's latest available spot reference firmed to around 122.79. The Turkish Lira weakened through 48.4. Pakistan's August inflation reaccelerated to 11.1%, while Turkey's annual print edged lower to 31.51%. The basin's macro picture is mixed, but India received the cleanest local tailwind.

At the beaches, physical activity continues to outpace fresh business. Several units that had been sitting in the pipeline have now converted into deliveries, while Gadani has added more hulls to its waterfront. Yet no fresh market sales were reported. Bangladesh and Pakistan have both cooled as the hottest buyers satisfied immediate requirements, while India is improving from below. The distinction remains critical: tonnage is moving through the beaches; owners are not yet feeding the next cycle.

The Bangladesh investigation left open last week has now reported. The Ministry of Industries inquiry identified shortcomings in safety supervision and gas-testing coverage around ballast-tank work, including hydrogen sulphide risk, and recommended action under existing rules together with tighter recycling certification expectations for vessels flying non-HKC flags. The legal process now follows. For the wider industry, the important consequence is procedural: a formal lesson is becoming a new checklist.

September therefore opens with Pakistan still leading but no longer paying August urgency, Bangladesh lower as first-tier demand is covered, and India moving in the opposite direction with firmer fundamentals and better appetite. Freight is keeping potential candidates trading, the Gulf remains operational but risky, and fresh supply is still the scarce commodity. The yards have been fed. The sales list has not.

GMS market rankings / pricing for week 36 of 2026 are on Page 5.

BANGLADESH



FINDINGS LAND, MARKET COOLS

Findings land.

The investigation into August's fatal recycling incident has moved from open questions to formal findings. The Ministry of Industries inquiry identified shortcomings in safety supervision and gas-testing procedures, including hydrogen sulphide risk arising from stagnant ballast water that was not adequately captured by the existing gas-free regime. The report recommended action under the prevailing rules and stronger recycling-certification requirements for vessels from non-HKC flag states, while the Industries Minister said responsibility and any penalties would proceed through the appropriate legal process. The industry implication is wider than one facility. Procedures around ballast spaces, atmosphere testing and high-risk work are now firmly under review.

Pipeline clears.

Commercially, Chattogram is showing precisely why port activity and fresh sales must be kept separate. The 27,824 LDT FPSO Glow, shown as an arrival last week, was delivered on August 30, while the 3,846 LDT bulker Orange Link was delivered on August 29. The waterfront is therefore consuming previously secured tonnage, but there were no fresh market sales this week. The hotter buyers have covered part of their immediate requirements, leaving the next tier to quote at lower levels.

Urgency fades.

Local steel offered no argument against that correction, but no support for another rally either. Plate remained unchanged throughout the week at BDT 64,000 per ton, approximately USD 522.24 per ton. The Taka moved favourably, with Bangladesh Bank's latest available spot reference strengthening to around BDT 122.79 to the Dollar from the 123.07 area reported last week. Currency therefore improved marginally while the vessel market softened, confirming that this week's move is about fulfilled demand rather than deteriorating local fundamentals.

Chattogram remains operational, capable and interested in tonnage. What has changed is urgency. The post-monsoon beach is working, recently secured ships are moving and local steel is stable, but the strongest buyers no longer need to chase every available candidate. Fresh supply remains thin enough to prevent any collapse. The beach is working. The bid is waiting.

NO MARKET SALES REPORTED

INDIA

**BACKING BUILDS, ALANG LIFTS**

Alang received its most important structural endorsement in some time this week. BIMCO, European Shipowners (ECSA), ICS, INTERCARGO, INTERTANKO and the World Shipping Council jointly welcomed the European Commission's proposal to include two Indian recycling facilities on the European List and urged policymakers to approve the updated List swiftly. The proposal is not yet the same thing as final listing, but the breadth of industry support matters. India's compliance case is no longer being advanced from the waterfront alone. Commercially, buyers have also improved their posture. Growing demand has pushed Alang recyclers toward better levels, although standard dry and tanker pricing remains behind both Pakistan and Bangladesh. The latest port report now records the 18,848 LDT LPG carrier Ble In as delivered on August 26, advancing the specialist-tonnage story that carried through August. Gas carriers, non-ferrous-rich units, green ships and other higher-value candidates continue to give India a market of its own even where straightforward sub-continent competition remains difficult.

Backing widens.

Local fundamentals strengthened again. Alang plate opened at INR 42,000 per ton, moved to INR 42,100 and held there through Friday. More importantly, the strengthening Rupee lifted the USD equivalent from approximately USD 440.25 to USD 445.69 per ton over the week. USD/INR moved to around 94.49 by Friday, giving recyclers a meaningful improvement in Dollar purchasing power. The published GMS desk board may not have moved this week, but the economics underneath the bid certainly have.

Plate firms.

India remains third for conventional tonnage, and that distinction should not be blurred. Yet while its two competitors are normalising after satisfying immediate demand, Alang is moving in the opposite direction. Better buying appetite, firmer steel, a stronger Rupee and growing support for the EU List proposal do not erase the competitive gap, but they are narrowing the handicap. The conventional board still says third. The direction says watch it.

Demand improves.

NO MARKET SALES REPORTED

PAKISTAN

**DEMAND FILLED, PRICES RESET**

Demand covered.

Two weeks ago the bid outran the hulls. Last week the hulls arrived. This week they are beginning to satisfy the requirement. Gadani remains the top-priced sub-continent destination, but levels have cooled significantly over the past fortnight as the most aggressive recyclers covered their immediate needs. The correction should not be mistaken for disappearing demand. It is the normalisation that follows a buying run in which too many yards were competing for too few ships.

Hulls feed.

The waterfront increasingly explains the change. The 8,128 LDT container vessel Visakha, previously recorded as an arrival, was delivered on August 30. The 5,688 LDT bulker Lina F arrived on September 1, while the 2,632 LDT general cargo vessel Larus arrived on August 27. The 4,990 LDT tanker Lyra remains recorded as having arrived on August 21. Gadani is therefore no longer trying to satisfy pent-up demand with an empty beach. Actual tonnage is now feeding the system. Local fundamentals did not deteriorate alongside vessel pricing. Plate held at PKR 200,000 per ton, approximately USD 719.94 per ton, throughout the entire week, while the State Bank's September 3 revaluation rate remained close to PKR 277.42 to the Dollar. Pakistan's August CPI did, however, rebound sharply to 11.1% from 9.2% in July, returning some inflationary pressure to the domestic picture. The key commercial point remains straightforward: steel and currency have held. Vessel values have corrected because urgency has been satisfied.

Top spot holds.

Pakistan therefore stays at the top of the board, but the bidding hierarchy underneath the hottest yards has changed. First-tier requirement has been partly filled; next-tier recyclers are considerably less inclined to reproduce August's extremes. Candidate scarcity should keep a floor under the market, particularly for attractive units, but the next ship will have to find the buyer whose requirement has not already been met. The appetite remains. The urgency has changed hands.

NO MARKET SALES REPORTED

TURKEY

CPI EASES, LIRA SLIDES



Turkey delivered another familiar combination this week. August CPI eased marginally to 31.51% year-on-year from July's 31.75%, although monthly inflation accelerated slightly to 1.84%. The Lira provided no corresponding relief, with USD/TRY moving through 48.4 into fresh record territory. The TCMB's next policy meeting is scheduled for September 10, with the one-week repo rate currently held at 37%.

CPI edges lower.

For Aliaga recyclers, this leaves Dollar-denominated purchasing power under the same pressure that has defined the year. Turkey remains structurally detached from the aggressive conventional pricing available across the sub-continent, with its business centred on regulatory access, specialist tonnage and Basel-compliant trades rather than attempts to chase South Asian numbers.

Lira through 48.4.

The joint shipping-industry backing for the proposed inclusion of two Indian facilities on the European List is therefore worth watching from Aliaga. It changes nothing overnight, but final approval would gradually broaden compliant competition for EU-flagged candidates, an area where Turkey has traditionally enjoyed a far narrower field.

Niche unchanged.

There is no reason to manufacture a Turkish drama where none exists. The inflation number moved slightly, the currency moved predictably, and the commercial niche remains intact. The Lira moved. Aliaga's place in the market did not.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 36 of 2026, GMS Market Rankings / Vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	Softening	500 / LDT	525 / LDT	535 / LDT
2	Bangladesh	Softening	475 / LDT	500 / LDT	510 / LDT
3	India	Improving	465 / LDT	485 / LDT	495 / LDT
4	Turkey	Steady	262-264 / LDT	272-274 / LDT	282-284 / LDT

DID YOU KNOW?

- *Ship recycling at Alang is estimated to have avoided 72.55 million MT of CO₂ emissions, equivalent to the carbon absorbed by approximately 113,000 km² of forest in one year, an area almost the size of Greece.*
- *Ship recycling at Alang is estimated to have saved 753 trillion BTUs of energy, equivalent to the energy contained in nearly 24 billion litres of petrol, enough to fill almost 400 million average 60-litre car fuel tanks.*
- *The 69.16 million tonnes of steel recovered through ship recycling at Alang has displaced an equivalent requirement for primary steel production, equal by weight to the structural steel used in approximately 920 Golden Gate Bridges.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	DELIVERY TIDES
October 02 - Mahatma Gandhi's Birthday	September 08 - September 16 September 25 - October 03

BANGLADESH	
BANK HOLIDAYS	DELIVERY TIDES
20-21 October 2026 – Durga Puja	September 10 – September 13 September 26 – September 29

BANK HOLIDAYS	
PAKISTAN	TURKEY
November 09 – Allama Iqbal Day	28-29 October 2026 – Republic Day

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ALANG - Port Position as of September 04, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ble In	18,848	LPG Carrier	<i>Delivered August 26</i>

CHATTOGRAM - Port Position as of September 04, 2026

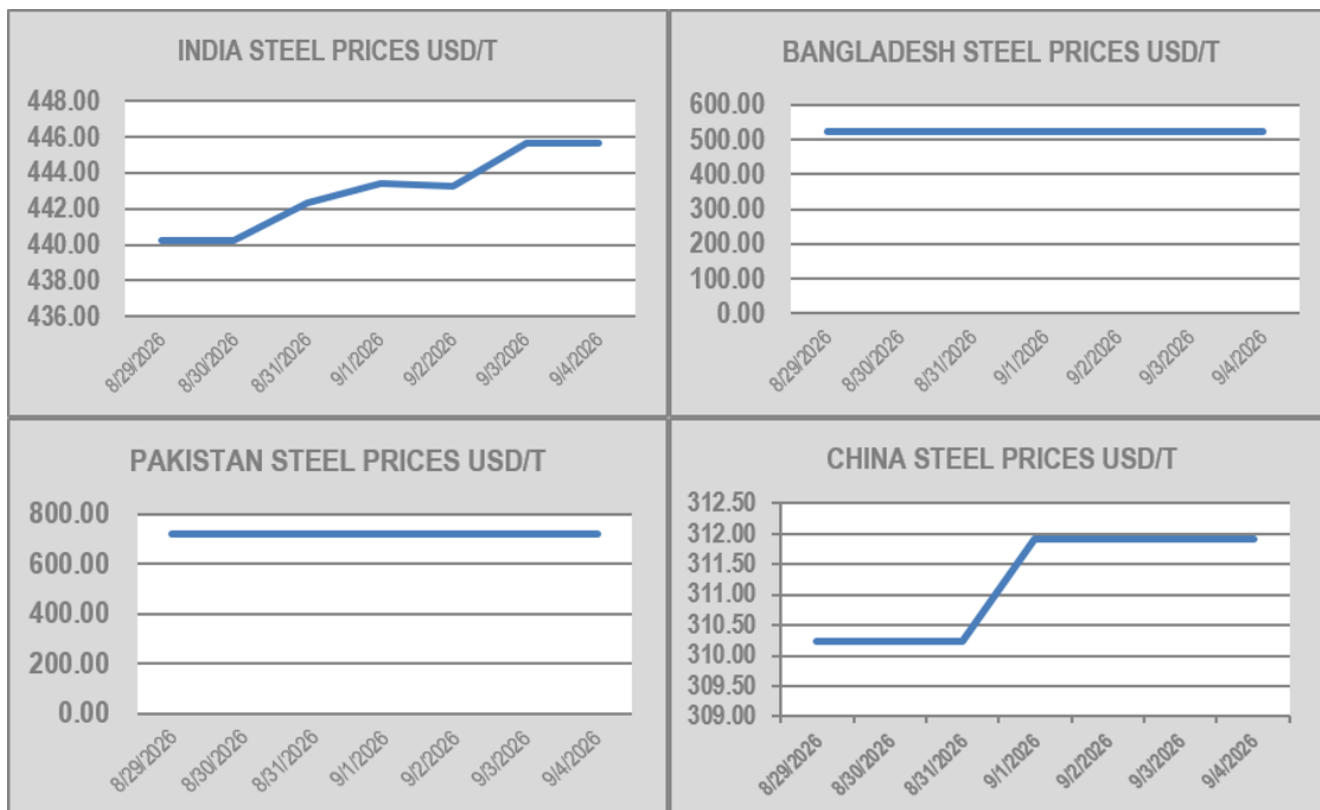
No.	VESSEL NAME	LDT	TYPE	STATUS
3	Glow (D/VSL)	27,824	FPSO	<i>Delivered August 30</i>
6	Orange Link	3,846	Bulk Carrier	<i>Delivered August 29</i>

GADANI - Port Position as of September 04, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Lina F	5,688	Bulk Carrier	Arrived September 01
2	Visakha	8,128	Container	<i>Delivered August 30</i>
3	Larus	2,632	General Cargo	Arrived August 27
4	Lyra	4,990	Tanker	Arrived August 21

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DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/29/2026	440.25	42,000.00	719.94	200,000.00	522.24	64,000.00	310.23
8/30/2026	440.25	42,000.00	719.94	200,000.00	522.24	64,000.00	310.23
8/31/2026	442.37	42,100.00	719.94	200,000.00	522.24	64,000.00	310.23
9/1/2026	443.39	42,100.00	719.94	200,000.00	522.24	64,000.00	311.91
9/2/2026	443.30	42,100.00	719.94	200,000.00	522.24	64,000.00	311.91
9/3/2026	445.69	42,100.00	719.94	200,000.00	522.24	64,000.00	311.91
9/4/2026	445.69	42,100.00	719.94	200,000.00	522.24	64,000.00	311.91



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